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|---------------|-----------------------------------------|
| Date          | 15/07/2026                              |
| Team ID       | XXXXXX                                  |
| Project Name  | Smart Lender (Loan Approval Prediction) |
| Maximum Marks | 10 Marks                                |

## Sample Project Documentation Report

### Smart Lender (Loan Approval Prediction) Project Report

**Project Summary:** Smart Lender is an automated credit evaluation system. Fleshed out on a loan dataset, the system maps personal characteristics and financial indicators to a binary decision: Approved or Rejected. By automating the screening process, financial institutions reduce underwriting cycle times and eliminate subjective biases, guaranteeing a fairer and faster experience.

#### Objectives:

- Analyze historical applicant parameters (credit history, income, property area).
- Balance target classes using SMOTE techniques.
- Build and evaluate DT, RandomForest, KNN, and XGBoost classifiers.
- Integrate the best model (Random Forest, 81.3% test accuracy) into an interactive Flask application.

#### Model Evaluation:

The RandomForest model was selected due to its high accuracy and resistance to overfitting. Evaluation details: • Accuracy: 81.3% on test set. • Precision: 79.5% for approval prediction. • Recall: 98.4% (minimizing false negatives for creditworthy applicants). • Serialization: Saved using joblib into models/model.pkl.

#### Architecture Flow:

User Form Input -> Data Mapping -> StandardScaler -> Random Forest Classifier -> HTML Result Render.